AREA Alberta Real Estate Association

_____
Agreement Number

COMMERCIAL EXCLUSIVE LANDLORD REPRESENTATION AGREEMENT

An Agreement to Exclusively Represent a Landlord

(For Use in Common Law Brokerages)

Between

THE BROKERAGE (WE)	and	**THE LANDLORD (YOU)**
Name _____		Name _____
Name _____		Name _____

1. THE PROPERTY

1.1 The land and buildings and attached goods at (municipal address): _____

_____

If condominium property, the name of the project: _____

Legal Description (to be used for non-condominium properties only):

Plan _____ Block/Unit _____Lot _____

_____

1.2 The premises shall comprise an area of _____ square feet more or less and is described below or is set out in the appendix attached to this agreement.

1.3 Is the premises currently listed for sale or lease with another real estate brokerage? ❑ Yes ❑ No

1.4 The proposed possession date is _____.

2. ASKING RENTAL RATE

2.1 The Annual Basic Rent is $ _____ per square foot per annum, or $ _____ per month plus GST. GST shall be the responsibility of the tenant.

2.2 If net lease, in addition to the Annual Basic Rent, Additional Rent is payable according to the division of expenses as set out in the attached Appendix. The Additional Rent amount is $_____ for _____ budget years.

2.3 Tenant utilities are ❑ separately metred and billed or ❑ included in the basic or additional rent.

2.4 A Lease Term of _____ months is preferred. Options to extend or renew the lease will be considered. ❑ Yes ❑ No

2.5 Tenant inducements, if any, offered by the landlord shall be

3. OUR AGENCY RELATIONSHIP

3.1 You give us the exclusive right to offer the property for lease and you appoint us as your exclusive agent to represent you in leasing the property. This agreement creates a sole agency relationship with the brokerage under common law. That means you cannot appoint anyone else as your agent to lease the property during this agreement. However, we may represent tenants and other landlords.

3.2 This agreement begins on _____, 20____ at _____. m.

It ends on _____, 20____ at _____. m.

4. OUR RESPONSIBILITIES

4.1 We must meet our agency responsibilities to you in a timely manner.

4.2 Our agency responsibilities to you include the duties of loyalty, obedience, confidentiality, reasonable care and skill, full disclosure, and full accounting.

4.3 In addition to the responsibilities described above, we must also:

(a) market the property, until the property is leased under this agreement, or this agreement ends.
(b) keep you informed of our marketing activities and any resulting transaction.
(c) tell any tenant interested in the property that we are your agent.
(d) tell tenants of all material latent defects affecting the property that we are aware of.
(e) help you negotiate favourable terms and conditions with a tenant.
(f) help you to prepare and comply with a contract to lease the property.

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(g) present all offers and counteroffers to and from you, even when you have accepted an agreement to lease. However, we need not seek additional offers while there is an accepted agreement to lease in place.
(h) tell you relevant facts about the transaction.
(i) hold money we receive in trust, as the *Real Estate Act* requires.
(j) give you a copy of this agreement as soon as possible after signing.

4.4 We are providing services as a real estate professional, not as a lawyer, tax advisor, lender, appraiser, surveyor, structural engineer, property inspector, or other professional service provider.

5. MLS® SYSTEM AND OUR OTHER SERVICES

5.1 We will advertise and market the property using the MLS® System. The MLS® System is a web-based service that allows landlord representatives to list properties for lease and share information about those properties. All listings on the MLS® System must: (a) be for a minimum duration of 60 days; (b) provide compensation for cooperating brokers for the sale or lease of the property; and (c) not exclude any licensed industry member from acting as a cooperating broker.

5.2 You acknowledge that we must follow the board's MLS® System rules and regulations when providing MLS® System services.

5.3 You request and we agree to provide the following other services:
(a) obtain a search of title to confirm the proper legal description and the landlord's legal authority to lease, including restrictive covenants affecting the use and occupancy of the premises. ❑ Yes ❑ No
(b) install "For Lease" and "Leased" signs on the property. ❑ Yes ❑ No
(c) advertise the property for lease. ❑ Yes ❑ No
(d) show the property at times acceptable to the landlord and, if any, the existing tenant(s). ❑ Yes ❑ No
(e) _____
(f) _____

6. YOUR RESPONSIBILITIES

6.1 During this agreement you must:
(a) insure the property and its contents against loss or damage due to causes normally insured against for similar properties, even if your property is vacant.
(b) communicate and cooperate with us.
(c) tell us if the property's condition, status or title changes.
(d) tell us about inquiries you make or receive about leasing of the property.
(e) tell us about all offers to lease from interested tenants or their representatives and deliver such offers to us.

6.2 During this agreement and 90 days after this agreement ends, you must give us copies of any offers you make or receive for the lease of the property, unless you sign a landlord representation agreement with another brokerage that begins after this agreement ends.

7. YOUR WARRANTIES AND REPRESENTATIONS

7.1 You warrant:
(a) you have authority to lease the property as described, including attached goods.
(b) no one else has a legal right to the property or attached goods.
(c) you have told us about all third party rights to the property that you know about.
(d) all information you give us is true to the best of your knowledge.

7.2 You warrant, to the best of your knowledge, the following are true:
(a) the land and buildings are currently being used according to municipal bylaws.
(b) the buildings and land improvements are entirely on the land and not on any easement, right-of-way, or neighbouring lands (unless there is a registered agreement on title).
(c) the location of the buildings or improvements meet municipal bylaws or regulations **or** the buildings and improvements are "non-conforming buildings" as defined in the *Municipal Government Act* (Alberta).
(d) the land and buildings are currently being used according to, and the location of the buildings and land improvements meet, the restrictive covenants on title (if any).
(e) you are not a non-resident of Canada under the *Income Tax Act* (Canada).

8. IMPORTANT INFORMATION

8.1 You will provide the following Important Information that may reasonably be required to us, promptly and at your expense:
(a) plans and specifications as may be available to properly describe the premises including the rentable floor area in square feet or square metres and the standard of floor measurements used.
(b) a schedule of the divisions of costs between landlord and tenant including an estimate of the expenses that the tenant may reasonably expect as Additional Rent for the first year of the Lease Term.
(c) where expenses are prorated, the percentage of costs that accrue to the premises.
(d) a draft or sample of the Landlord's Standard Lease Form (the "Lease").
(e) a schedule of improvements that the landlord will undertake at the landlord's expense.
(f) rules and regulations that may apply to the tenant's use and occupancy of the premises.
(g) any special or unusual lease terms or conditions that may apply to the tenancy.

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(h) if condominium property, a copy of the current bylaws of the Condominium Corporation.

8.2 In the event that you fail to provide the Important Information, you authorize us to obtain it on your behalf and at your expense.

9. CONFLICTS OF INTEREST

9.1 It is not a conflict of interest if we simply show the property to a tenant we also represent.

9.2 A conflict of interest occurs when we act as the sole agent for both you and the tenant. In that case, we must tell you there is a conflict and tell you and the tenant your options.

9.3 If there is a conflict, you and the tenant may agree to have us act as a transaction facilitator. In that case, we work for both sides to bring about an agreement to lease and do not act as sole agent for either of you.

9.4 If we, you or the tenant decide not to have us facilitate the transaction, we will act as the sole agent of the side which first signed a representation agreement with us, unless we all agree otherwise in writing.

9.5 If we do not continue to act as your sole agent, you may choose another brokerage, ask us to refer you to another brokerage, or have a customer relationship with us. If you are a customer, our responsibilities are limited to acting honestly, using reasonable care and skill, and making sure any information we give is correct.

10. OUR FEE AND LIMITS ON PAYMENTS

10.1 The leasing commission (our fee) is:

(a) _____% of the ❑ net ❑ gross rental value payable by the tenant during the first _____ years or any lesser term and _____% of the ❑ net ❑ gross rental value payable for any period beyond _____ years. In any event, it is agreed that our minimum fee shall not be less than $_____; or

(b) other remuneration arrangements as described in an addendum attached to this agreement.

10.2 GST is payable on our fee.

10.3 We will offer $ _____, or _____% of our fee, plus GST, as compensation to other brokerages for finding a tenant.

10.4 In the event any lease renewal or extension is negotiated, then an additional fee is payable at a rate of _____% of the ❑ net ❑ gross rent payable for the first _____ years or any lesser term of such renewal or extension, and _____% of the ❑ net ❑ gross rent payable for any period beyond _____ years.

10.5 You must pay our fee if:

(a) while this agreement is in effect, you enter into a legally binding contract to lease the property, whether through us or not. You must pay us even if you don't complete the agreement to lease, unless you have a legal reason for not completing it.

(b) in the 180 days after this agreement ends, you enter into a legally binding contract to lease the property where the tenant was introduced to the property during the term of this agreement. You must pay us even if you don't complete the agreement to lease or do not permit occupancy, unless you have a legal reason for not completing it.

(c) a tenant is found who is willing and able to complete the agreement to lease upon the terms outlined in the agreement but you refuse to sign the agreement to lease.

10.6 You authorize us to use any deposit we hold under the agreement to lease or this agreement first towards money you owe us under this agreement. If the deposit does not cover our fee and any other money owing to us under this agreement, you must pay us the outstanding balance within two (2) days:

(a) after the agreement to lease is completed, or

(b) from when this agreement ends.

10.7 You do not pay our fee if you:

(a) lease the property to a tenant excluded in writing from this agreement.

(b) sign a landlord representation agreement with another brokerage that begins after this agreement ends.

10.8 Payment of fees on renewals shall be upon written agreement being signed confirming the rental and the term of the renewal. In the event the tenant holds over without an executed renewal or extension agreement in place, our fee shall be paid monthly as the rents are collected.

10.9 If you change your mind about leasing the property, you must tell us in writing. You must reimburse us for our reasonable expenses up to the time you tell us. Reasonable expenses will include: _____

_____

If you pay these reasonable expenses, it does not remove your responsibility to pay other amounts you may owe us under this agreement.

10.10 If the tenant does not complete a legally binding contract to lease the property and has no legal reason for not completing it, the tenant may forfeit the deposit. If the tenant forfeits the deposit you will pay us our fee or 50% of the forfeited deposit, whichever is less.

10.11 You agree that all of your interest in the land, buildings and attached goods may be encumbered for our benefit to secure payment of all money that you owe us under this agreement. We and you agree that we are entitled to encumber the land, buildings, and attached goods under the *Land Titles Act* (Alberta).

10.12 If we have to enforce any of our rights under this agreement and we are successful, you will pay us our reasonable enforcement costs including lawyer and client fees.

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10.13 An agreement to lease is complete when occupancy of the property has been granted and any initial money due from the tenant has been paid to you or your lawyer.

10.14 We must not accept any other fees including finder's fees, referral fees, bonuses or gifts directly or indirectly related to this agreement, unless we first tell you in writing everything relevant about the payment and you consent in writing to the payment.

11. PERSONAL AND CONFIDENTIAL INFORMATION

11.1 For the purposes of this agreement, "Listing Information" includes all information required for the listing of the property, including your personal and confidential information. This includes but is not limited to your name, property address, images and audio and video recordings of the property, listing, pricing and sales/leasing information, existence of conditional offers, the unconditional sale/lease price, and date of sale/lease of the property.

11.2 You give your consent to us to collect, maintain, use and disclose the Listing Information, both now and at any time in the future, for the purposes of this agreement and for all uses set forth in this agreement including listing and marketing the property in any medium, including electronic media. You release us and our brokerage representatives from all claims and liability arising from these consented uses.

11.3 You consent to our collection, use, and disclosure of the Listing Information:

(a) in our databases and in any databases we choose to use, regardless of whether we operate or control the databases.

(b) for any business purpose, including making comparative analyses and sharing information with appraisers and other brokerages.

11.4 You acknowledge that we, our local real estate board, our provincial real estate association, and the listing services we use may:

(a) disclose the Listing Information to others authorized to use the listing service, like other brokers, appraisers, government departments, municipal organizations, and others.

(b) use the Listing Information to gather, keep, and publish statistics which we may use to conduct comparative market analyses.

(c) use the Listing Information to better list, market, and sell real estate.

11.5 We will not use or disclose your Listing Information except as set forth in clauses 11.2, 11.3 or 11.4, or as required by law.

11.6 We will not give you any confidential information we have because of a past or present agency relationship with someone else.

12. ONGOING OBLIGATIONS

12.1 Our duty under clauses 11.1 through 11.5 to keep the Listing Information confidential in accordance with the terms thereof continues after this agreement ends.

13. AUDIO AND VIDEO RECORDINGS AND PHOTOGRAPHY

13.1 You consent to showing the property, including virtual showings using photography or videography, and acknowledge that your personal or confidential information may be seen by prospective tenants, their representatives, service providers, and others as may be required to attend the property by the prospective tenants.

13.2 You release and hold us and our brokerage representatives harmless from all legal liability due to any alleged breaches of privacy arising from showings of the property, including virtual showings using photography or videography.

13.3 You acknowledge it is unlawful to record conversations of any persons attending your property without their written consent and to have active cameras located in or on your property where privacy would be reasonably expected.

14. INDEMNIFICATION

14.1 You agree that you will indemnify us and our brokerage representatives against all claims and legal actions that may arise from any consents or acknowledgements you make in this agreement, or because we reasonably and in good faith relied on information you gave us. This means that you will have to pay us in full for the outcome of these claims and legal actions and any related expenses including legal fees.

15. PROPERTY INFORMATION, NOTICES AND PERMITS

15.1 You are required by law to disclose material latent defects. Material Latent Defect means a known defects in the property that is not discoverable through a reasonable inspection and that will affect the use or value of the Property. You may also be required to disclose defects that would be expensive to fix, government and local authority notices and lack of development permits.

(a) Are you aware of material latent defects in the property? ❑ Yes ❑ No

(b) Do you know of any defects that would be expensive to fix? ❑ Yes ❑ No

(c) Have you received any government or local authority notices? ❑ Yes ❑ No

(d) Do you know of any lack of permits for any development on the property? ❑ Yes ❑ No

If ***yes*** to any of the above, complete the Defect Disclosure Instruction Schedule.

16. ADDITIONAL TERMS (IF ANY)

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17. EARLY END TO THIS AGREEMENT

17.1 Despite the end date listed at the beginning of this agreement, the agreement ends immediately if any of these things happen:

(a) you complete an agreement to lease for the property.
(b) we and you agree in writing to an earlier end date.
(c) our licence to trade in real estate is suspended or cancelled.
(d) we are bankrupt, insolvent, or we are in receivership.
(e) you materially breach this agreement and we give you written notice to end it, or we materially breach this agreement and you give us written notice to end it.
(f) you give us written notice to end this agreement because our board membership status changes to the extent that we cannot fulfill our obligations under this agreement.

If the agreement ends for any of these reasons, our rights and your rights under this agreement will not be affected.

17.2 When this agreement ends, we will immediately remove the property as an active listing on any listing service, cease all marketing activities for the property, remove all signs and any lockbox from the property, and return documents and other materials provided by you.

17.3 Ending this agreement for whatever reason does not relieve us of our duties to account for all monies received by us and confidentiality to you.

18. OTHER DETAILS ABOUT THIS AGREEMENT

18.1 Documents attached to this agreement only form part of this agreement if we and you sign or initial them. This agreement includes these attached documents:

18.2 Any future changes to this agreement must be in writing and signed by both of us to be effective.

18.3 Words with a singular meaning may be read as plural when required by the context.

18.4 If any clauses added to this agreement conflict with standard clauses in this agreement, the added clauses apply.

18.5 This agreement is the entire agreement between us and you. Anything we discussed with you, or that you told us, is not part of this agreement unless it is in this agreement.

18.6 This agreement is for the benefit of and will be binding on the heirs, administrators, executors, successors and assigns of you and us.

18.7 The laws of the Province of Alberta govern this agreement, and all disputes will be resolved in Alberta.

19. LANDLORD ACKNOWLEDGEMENT

19.1 You acknowledge that:

(a) you have read this agreement
(b) this agreement creates a sole agency relationship with us.
(c) you had the opportunity to get independent advice from a lawyer, tax adviser, lender, appraiser, surveyor, structural engineer, property inspector or such other professional service provider as you require before signing this agreement. This agreement accurately sets out what we and you agree to.

20. CONTACT INFORMATION

20.1 The following contact information must be used for all written communications between us and you. If this contact information changes, we and you must tell each other in writing within two days of the change.

LANDLORD:

Name _____

Address _____ (postal code)

Phone _____ Fax _____

Email _____

Name _____

Address _____ (postal code)

Phone _____ Fax _____

Email _____

BROKERAGE:

Name _____

Address _____ (postal code)

Phone _____ Fax _____

Email _____

BROKERAGE REPRESENTATIVE:

Name _____

Address: c/o the Brokerage

Phone _____ Fax _____

Email _____

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20.2 We and you may communicate and deliver documents and information to each other in person, by mail, or electronically. We and you acknowledge there are risks with each of these methods and we have explained these risks to you.

20.3 We and you agree that for our communication an electronic signature will have the same function as an ink signature and that any documents or information exchanged between us will be considered delivered when they are sent.

SIGNATURES:

SIGNED AND DATED on _____ , 20_____.

Signature of Landlord/Authorized Signing Officer	Signature of Landlord/Authorized Signing Officer
Print Name of Landlord/Authorized Signing Officer	Print Name of Landlord/Authorized Signing Officer
Signature of Witness	Signature of Witness
Print Name of Witness	Print Name of Witness
Signature of Brokerage Representative	Print Name of Brokerage Representative

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